

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

**COMPLAINANT PELOTON INTERACTIVE, INC.’S
STATUS REPORT**

Pursuant to the March 25, 2025 Status Conference on Discovery Motions (“March 25 Hearing”) and the March 26, 2025 Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel (“March 26 Order”), Complainant Peloton Interactive, Inc. (“Peloton”) submit this Status Report with respect to Peloton’s Verified Amended Complaint (“Complaint”), where Peloton requests that the Federal Maritime Commission (“FMC”) issue an Order “[o]rdering that Flexport cease and desist from [its] unlawful conduct.”¹

The March 26 Order requested that Peloton inform the Presiding Officer and Flexport International LLC (“Flexport”) as to whether Peloton intends to continue to pursue a cease-and-desist order in this proceeding. In the March 25 Hearing, Flexport raised Peloton’s cease and desist order in its request asserting that since Peloton no longer engages in FMC-regulated business

¹ Dkt. No. 14.

activities with Flexport, a cease-and-desist order is not warranted. Subsequent to the March 25 Hearing, we have confirmed, that Peloton is not currently conducting FMC-regulated business with Flexport. Peloton's current dealings with Flexport are limited to U.S.-Canadian cross border customs work and there is no current plan to resume FMC-regulated business activities in light of Flexport's prior conduct.

Thus, at this time and in response to the Presiding Officer's request, Peloton represents that it does not have an immediate need for a cease-and-desist order as to Peloton's ongoing business with Flexport, but notes that the FMC has held that beyond "vindicating the interests of the Complainant in a particular case, cease-and-desist orders also provide broader relief and protections for industry stakeholders and the shipping public."² Such orders can have broader implications and effects, including deterring future violations.³

Discovery to date reveals that Flexport assessed demurrage and detention ("D&D") charges to Peloton and customers generally, pursuant to its own tariff rates, a practice that remains in effect today. Peloton has alleged in its Complaint that Flexport's practices in assessing detention and demurrage were unjust, unreasonable, and in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, et seq., as amended.⁴ Given that discovery is still ongoing in this proceeding and Peloton's

² *Intermodal Motor Carriers Conference v. OCEMA*, Dkt. No. 20-14, 2024 WL 641501, at *43 (FMC Feb. 13, 2024); see also *Mediterranean Shipping Co., S.A.,- Possible Violations of the Shipping Act 46 U.S.C. 41102(C), 40501, and 41104(A)(2)(A)*, Dkt. No. 23-08, 2025 WL 708791 at *45-46 (ALJ Feb. 25, 2025) ("In addition to protecting the shipping public, a cease-and-desist order will alert the shipping industry, forestall future violations, and facilitate injunctions against possible unlawful activity in the future.") *Alex Parsinia D/B/A Pacific International Shipping and Cargo Express*, Dkt. No. 97-01, 1997 FMC LEXIS 46, at *25 (FMC 1997) ("Even though respondent is currently not engaged in any known transportation activity it is appropriate in this case to issue a cease and desist order. Such an order would assist in alerting the shipping industry to any future business activity by the respondent, serve to forestall future violations and provide a mechanism to enjoin any prohibited activity.").

³ *Mediterranean Shipping Co., S.A.*, 2025 WL 708791, at *45.

⁴ Dkt No. 14.

claims and requested relief have not been fully adjudicated, the question of whether Flexport's unreasonable conduct persists, including with respect to other customers remains unresolved. *See Maher Terminals, LLC v. The Port of New York and New Jersey*, Dkt. No. 12-02, 2015 WL 9426189, at *41, fn. 26 (FMC 2015) (finding that "it would be premature to assess Maher's entitlement to cease-and-desist relief before adjudicating the merits of its claims in this case").

However, as it appears that the FMC is endeavoring to refine the scope of the issues and requested relief in this proceeding, Peloton agrees to facilitate this process and represent that it will not continue to pursue a cease-and-desist order against Flexport in this proceeding at this time. Peloton hereby reserves all other rights and remedies with respect to its pending claims.

Dated: March 28, 2025

Respectfully Submitted,

HOLLAND AND KNIGHT LLP

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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Executed: March 28, 2025

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